

omy was growing, and many were opening up to the idea of investing in jewellery through a trusted corporate jeweller,” says Parida, who was head of marketing at Tanishq from 2007 to 2009. Parida says Titan played a crucial role in India’s branded jewellery market by creating trust and helping it grow. The trust in the brand Tata, its jewellery designs, and the store experience stood out for the brand.

GOLD AS A CONSUMER GOOD!

That, however, is half the story. Titan’s growth in its jewellery business has made it a leading consumer goods company. Though not a like for like comparison, against FMCG market leader Hindustan Unilever’s operating revenue of ₹62,700 crore in FY24, Titan reported ₹51,084 crore. Part of Titan’s sales can be attributed to the surging prices of gold and other precious metals in the past five years. In FY19, the median price of 24-carat gold in India was ₹32,000 for 10 grams; in FY24, it rose to ₹74,000. Silver prices were up by over 70% during the same five-year period.

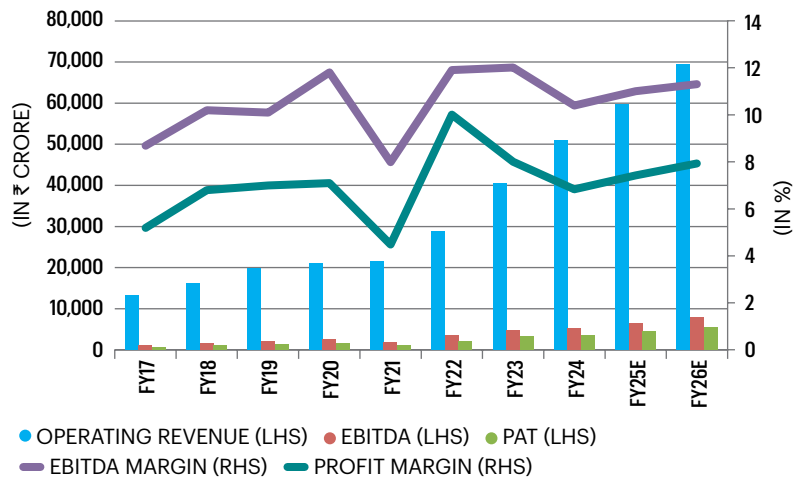
But Ajoy Chawla, Chief Executive Officer of Titan’s jewellery division, says the growth was not all due to the surge in gold prices. “Rising gold prices have aided growth, but that is partly true. The other part of the story is that consumers are not price-insensitive. So, if the gold price goes up by, say, 10%, the increase in average purchase size may go up by 5-7%,” says Chawla.

(It’s no secret that Indian households together hold nearly 24,000 tonnes of gold, which is more than the total held by the world’s top six central banks, per the World Gold Council.)

While the price of gold increased by over 16% last year, the average ticket size (total sales divided by the

SHINING NUMBERS

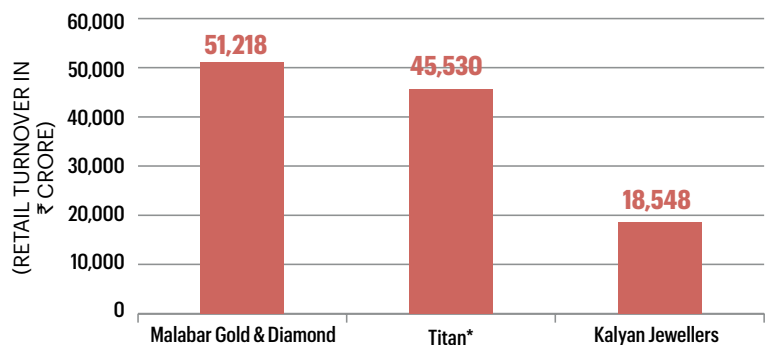
- ▶ Titan’s revenue got a major boost after the Covid-19 pandemic, with rising gold prices and an increased focus on retail growth
- ▶ Its Ebitda and net profit grew handsomely between FY21 and FY24, but pressure on margins continues



E: ESTIMATES SOURCE COMPANY FILINGS, MOTILAL OSWAL

GOLD RUSH

- ▶ With ₹45,000-crore retail sales in FY24, Titan dominates the local branded jewellery market
- ▶ Malabar Gold & Diamond, on the other hand, rakes in more with its larger presence in overseas markets



NOTE DATA FOR FY24; *TITAN'S JEWELLERY DIVISION REVENUE HAS BEEN CONSIDERED SOURCE COMPANY FILINGS, INDUSTRY

WITH OVER ₹45,000 CRORE IN RETAIL REVENUE, TITAN IS INDIA'S LARGEST BRANDED JEWELLERY COMPANY. THE FLAGSHIP TANISHQ DRIVES THE JEWELLERY DIVISION